WAITING FOR THE HARVEST

The Budget focus has been on raising farmer incomes and widening the scope of the rural job market

BY **ANILESH S. MAHAJAN**



HIGHLIGHTS

- ₹10,000 cr. for Price Stabilisation Fund to sustain buffer stock, check prices of essential commodities
- Digital Public Infrastructure (DPI) to cover all farmland in country. Kharif crop survey in 400 districts in 2024
- Big cut in fertiliser (down to ₹1.64 lakh cr.) and food (now ₹2.13 lakh cr.) subsidies
- Rs 6,437 cr. allocated under PM-AASHA in 2023-24 for MSP compensation
- Rs 9,941 cr. set aside for agricultural R&D. India currently spends less than 0.4% of agri GDP on research, much less than China, Brazil or Israel
- 10 million farmers to be initiated into natural farming in the next two years

THE FARMER UNIONS IN NORTH INDIA may be on to the next phase of protests over a legal framework on MSP (minimum support price) for their produce, but Union finance minister Nirmala Sitharaman seems unperturbed. Her FY25 Budget allocations for agriculture showed no indications of a change in trajectory from the path the BJP-led government has charted since 2021-22—strengthening the post-farmgate ecosystem and not fiddling much with market prices.

Agriculture and allied sectors have seen an annual average growth rate of about 4.2 per cent over the last five years—one of the lowest for any period in the last four decades. Despite the country's farmers contributing 18.2 per cent to the GDP and 45 per cent of the country's population being directly employed in it, agriculture and the rural economy have always cribbed about getting step-motherly treatment from the Centre. And that lament is only going to get louder with provisional estimates for 2023-24 suggesting the agri sector grew by an abysmal 1.4 per cent, a huge drop from the 4.7 per cent in 2022-23. This is at the core of the unrest among the farm unions and the big conundrum facing budget architects who seek to craft solutions via government expenditures.

On July 24, a day after the budget, farm union leaders from Punjab and elsewhere met leader of the Opposition Rahul Gandhi at his office in Parliament to build pressure on the treasury benches. In the recent Lok Sabha election, the BJP had faced the farmers' ire in many of the north Indian states and in Maharashtra's Marathwada and Vidarbha regions. The BJP's electoral hegemony of the past decade was essentially driven by its transformation into the new party of the village in north India to complement its urban dominance. Reverses in rural India have now